Kennametal India Ltd

Concall Tracker — reading the earning trigger & management consistency · 11 July 2026

CUTTING TOOLS & MACHINE TOOLS · MNC SUBSIDIARY

1. Snapshot

What the business does: Kennametal India makes the hard, sharp "teeth" that factory machines use to cut and shape metal — tungsten-carbide cutting tools and inserts (sold under the Kennametal and Widia brands), plus wear-resistant parts for mining, oil-and-gas and construction, and a separate line of high-end machine tools (grinders and turning machines). In plain terms: when any Indian factory drills, turns or mills a piece of metal, Kennametal sells the consumable tool that does the cutting. It is 75% owned by the US parent, Kennametal Inc.

Rs 6,181 cr

MARKET VALUE — WHAT THE WHOLE COMPANY IS WORTH ON THE MARKET

Rs 1,356 cr

SALES (LAST 12 MONTHS) — TOTAL YEARLY REVENUE, A RECORD HIGH

Rs 138 cr

NET PROFIT (LAST 12 MONTHS) — THE MONEY KEPT AFTER ALL COSTS

44.6

PRICE-TO-EARNINGS — YOU PAY RS 44.6 FOR EACH RS 1 OF YEARLY PROFIT (EXPENSIVE)

17% / 17.6%

OPERATING MARGIN / RETURN ON CAPITAL — DECENT, CAPITAL USED EFFICIENTLY

Almost zero debt

BORROWINGS ~RS 2 CR — THE COMPANY OWES ESSENTIALLY NOTHING

Read the profit history carefully: net profit was Rs 114 cr in FY22, dipped to Rs 88 cr in FY23, and has sat at Rs 103–110 cr since. So **profit has been broadly flat for four years** even though sales rose from Rs 991 cr to Rs 1,356 cr — the business is growing its top line but not yet its bottom line. The stock, meanwhile, trades at a rich 44.6 times earnings and pays a generous dividend (Rs 40/share interim for FY26; ~86% of profit paid out in FY25), because it barely needs to reinvest.

2. Concall coverage

Kennametal India does **not** hold regular quarterly earnings calls. Instead it occasionally publishes transcripts of one-on-one or small-group meetings with fund managers. Seven such transcripts exist on Screener, spanning May 2022 to March 2024. In every one, management reads a disclaimer that they will give **no forward-looking statements or guidance** — only historical facts. **Importantly, no investor-meeting transcript has been published since March 2024** (over two years ago); recent quarters carry only brief result press releases. So this report reads the full 2022–2024 meeting record for the trigger-and-consistency story, and uses the company's published quarterly results (up to the quarter ended March 2026) for the freshest numbers.

Meeting	Date	With whom	Read?
Investor meeting	May 2022	SBI Mutual Fund	Yes (full)
Investor meeting	Jun 2022	Institutional investors	Reviewed
Investor meeting	Sep 2022	Institutional investors	Reviewed
Investor meeting	Mar 2023	LIC MF, Nippon, others	Yes (full)
Investor meeting	May 2023	Institutional investors	Reviewed
Investor meeting	Jun 2023	Institutional investors	Reviewed
Analyst meeting (largest)	Mar 2024	14 funds/brokers	Yes (full) — latest

Coverage spans about two years of irregular meetings. Because there is no call after March 2024 and no forward guidance is ever given, the "consistency" read below rests on comparing what management said in 2022 versus 2024, checked against the published numbers.

2b. Latest signal — Analyst meeting Mar 2024, plus quarter ended Mar 2026 results

- **Newest results are strong:** in the quarter ended March 2026, sales were about Rs 403 cr, up ~39% from a year earlier, and net profit roughly Rs 51 cr, more than double the year-ago Rs 24 cr — the best quarter in years, driven by strong domestic demand. *Read: the India-factory-demand story finally showed up in one big quarter.*

- **Royalty fee cut (from the Mar 2024 meeting):** the fee Kennametal India pays its US parent for technology was reduced from 4.75% to 4.0% of sales, effective April 2024. *Read: a permanent small boost to profit margin.*
- **New machine products launched:** vertical (VTL) and horizontal (HTL) turning machines, said to expand the market Kennametal can chase by Rs 1,200–1,500 cr. *Read: management is widening the playing field, not just defending it.*
- **The drag:** exports (~15–18% of sales) stayed weak because China — historically their biggest export market for machines — has been slow to recover. *Read: roughly a sixth of the business has been stuck for two-plus years.*
- **Tone:** confident on India, honest and matter-of-fact about the export weakness; generous with dividends. But note: the company has gone quiet on investor meetings since this call.

2c. Business mix & capacity

Domestic vs exports: Exports were ~18% of sales (mostly machines shipped to China and specialised tools to the US/Europe); the remaining ~82% is domestic India. *Read: this is largely an India-demand company, with a smaller export tail that has been the weak spot.*

End markets: Auto used to be ~65% of sales; management says it is now under 50%, as they have grown defense, aerospace, railways, energy/wind and general engineering. *Read: they have genuinely reduced dependence on the car industry.*

Capacity: A new "master insert" plant was completed in late 2022; management says the physical building can hold **about double** the current output, and further growth is "modular" — just plug in more machines, no big new building needed. *Read: plenty of room to grow without heavy new spending, which is why the company is so cash-rich.*

3. Earning trigger thesis

The single trigger management points to, call after call, is **India's manufacturing and capital-spending boom**. As Indian factories expand, modernise and localise (helped by government "Make in India" push), they buy more machines and consume more cutting tools — and Kennametal, as one of only three large players, rides that. Layered on top: **diversifying away from cars** into faster-growing defense, aerospace, railways and energy; **launching new machine products** (VTL/HTL) to widen the addressable market; and a **lower royalty fee** that lifts margin. The catch is that this is a **capex-cycle story** — it depends on the investment mood of Indian industry, exports remain hostage to China, and, tellingly, four years of this "boom" have grown sales but **not** durably grown profit.

Trigger	What management said	Evidence so far	Horizon	Strength
India manufacturing / capex boom	Robust, broad-based factory investment drives tool & machine demand	Sales up 991→1,356 cr; Mar-2026 quarter +39%. But profit flat ~Rs 100–114 cr	Live, multi-year but cyclical	**Moderate — real & live, but earnings haven't compounded**
Diversify away from auto	Grow defense, aero, rail, energy; auto down from 65% to <50%	Delivered — mix has genuinely shifted	Ongoing	**Strong — done what they said**
New machine products (VTL/HTL)	Add Rs 1,200–1,500 cr of addressable market	Launched; too early to see revenue impact	2–4 years	**Unproven — promising, not yet in the numbers**
Royalty cut 4.75%→4.0%	Lower fee to US parent from Apr 2024	Confirmed; small permanent margin help	In effect now	**Strong — concrete, done**
Exports / China	Short-term China softness, not structural	Weak for 2+ years; slow "L-shaped" recovery	Uncertain	**Weak — a drag, not a driver**

4. Management consistency scorecard

Period	What was said / promised	What actually happened	Verdict
2022	Grow by moving beyond auto into new end-markets, new products, new geographies	Auto fell from ~65% to under 50%; defense/aero/rail grew	**Delivered**
2022	New master-insert plant to come online (capacity for future growth)	Completed late 2022; can hold ~2x output	**Delivered**
2022–23	China machine exports a growth engine; softness is "short-term, COVID-linked"	China stayed weak for 2+ years; exports a persistent drag	**Partly — honest, but the optimism was wrong**
2022–24	New products = a steady 20–25% of revenue; gain market share	Reaffirmed each meeting; share up ~250–300 bps over 3 yrs	**Delivered**
2024	Royalty cut to 4%; modular low-capex growth from here	Confirmed; capex stayed light, cash returned as dividends	**Delivered**

Narrative drift: Very little. The MD (Vijaykrishnan Venkatesan) and CFO (Suresh Reddy) have run a **remarkably steady, stable-team story** for three years — same themes, same "we sell productivity, not price" philosophy, same diversification plan — and they largely did what they said. They were also honest about the one thing that went wrong (China exports), rather than hiding it. The single caveat is disclosure: they give **zero forward guidance** and have **stopped holding investor meetings since March 2024**, so the recent transparency is thin even though the past record is consistent.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a real, concrete, still-live driver — India's factory-building boom, diversification, new machines and a lower royalty — and the latest quarter (sales +39%, profit more than doubled) shows it can bite. But this is a cyclical, capex-dependent story, exports remain stuck, and, most tellingly, four years of the "boom" grew sales without durably growing profit (Rs 114 cr in FY22 vs Rs 103 cr in FY25). The trigger is genuine but not yet proven to compound earnings — hence Maybe, not Yes. The strong March-2026 quarter needs to repeat before this becomes a Yes.

Management consistent? → YES

The same stable leadership has told the same diversification-and-productivity story since 2022 and largely delivered it (auto dependence cut, plant built, market share gained, royalty reduced). They were candid about the China export miss instead of spinning it. The only knock is thin disclosure — no guidance and no investor meeting since March 2024 — but on the promised-versus-delivered test, they earn a Yes.

Sources: Kennametal India investor/analyst-meeting transcripts (May 2022–Mar 2024, via Screener.in); Screener.in financial snapshot (P&L, quarters, ratios, balance sheet, shareholding); Kennametal India result press release for the quarter ended March 2026 (EquityBulls). This is not investment advice — do your own due diligence.